

Global Memory Tech

Theme of the week: NAND surprise,
Samsung labor strike, TCB sales miss

Industry Overview

Kioxia's guidance signals significantly strong NAND ASPs

We were surprised by Kioxia's more-than-doubled 1Q CY26 ASP QoQ, which was 20ppt higher than Korean chipmakers' results (80%+/-). We believe Kioxia's SSD sales increase (including enterprise solutions) vs 4Q CY25 was one of the key contributors. Its 2Q CY26 sales guidance (+74.5% QoQ) also implies upbeat NAND ASP (~70% QoQ increase vs consensus / our estimate: sub-50%). Taiwan-based NAND module maker, Phison Electronics (8299 TT), also reported super-cycle-level April results (sales +237% YoY; pre-tax profit margin 45%; net profit margin 38%). Overall, we acknowledge high upside risk to our global NAND ASP forecasts (+34%/+9%/+3% QoQ in 2Q/3Q/4Q26) or even bullish camp's view (e.g., TrendForce expects only 8-13% increase after 70-75% in 2Q).

Samsung labor strike may lead to stronger contract pricing

Samsung Electronics is the No. 1 supplier of DRAM and NAND. Thus, its potential labor strike should affect global memory chip supply. Since the labor union is targeting only an 18-day strike (21 May - 7 June) if special bonus payments (15% of OP) are not settled, the actual impact may theoretically be not significant. However, it usually takes at least a few months to normalize fab operations after a full suspension. Of course, Samsung's memory fab operations are mostly based on factory automation (not many people inside clean rooms), so we don't expect a complete shutdown. That said, labor-intensive backend packaging areas can be hit. Some OEMs and Big Tech companies may rush to secure more Samsung memory chips ahead of Sept/Oct peak season. This can also lead to higher spot market prices. Interestingly, both DRAM/NAND spot prices slightly rebounded this week vs softening in April and early May. 3Q contract price, which is usually negotiated in June, can also be affected positively (for memory chipmakers).

Hanmi Semi's 1Q TCB sales miss a manageable risk

Hanmi Semiconductor (042700 KS) posted much weaker-than-expected 1Q results (sales only W51bn; -65% YoY; OPM also low at 17% vs the normal 40-50% range). We believe weaker TCB orders from SK Hynix were the key contributor. However, 2Q/2H recovery is well expected on a more diversified TCB (for not only HBM, but also 2.5D logic and even HBF) and customers (not well disclosed, but we assume Hynix, Micron, ASE, TSMC, etc.). In fact, 1Q NP (W19bn vs W8bn OP) was upbeat due to FX gains. As such, our EPS estimates are mostly unchanged. Another Korean semis supply company, Soulbrain (357780 KS; HF etching materials for Samsung's/Hynix's chips), reported in-line 1Q results, although growth and margins remained below trend (OPM only 17% vs normal 20%+). This is consistent with the current memory cycle (weak bit growth or low production volume vs super-strong chip pricing). SK Square (SK Hynix's holdco) also disclosed in-line 1Q earnings, but OP/NP reached record highs as it recognizes 20% of Hynix's profits as a holdco. Since we have already reflected Hynix's strong 2026E earnings into our SK Square's forecasts, our EPS revisions (SK Square) are almost nil this time.

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Refer to important disclosures on page 14 to 18. Analyst Certification on page 12. Price Objective Basis/Risk on page 11.

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Exhibit 1: DDR5 rose further this week, while DDR4 and NAND prices stabilized following several weeks of decline

Spot prices – DRAM and NAND

US\$	Current	WoW	QoQ	YoY
DRAM spot				
16Gb DDR5	40.7	2%	7%	639%
16Gb DDR4	58.2	0%	-26%	1281%
8Gb DDR4	32.0	0%	2%	1403%
4Gb DDR4	7.8	5%	24%	431%
NAND spot				
1Tb wafer	25.0	1%	16%	386%
512Gb wafer	20.5	0%	14%	651%
256Gb wafer	10.5	0%	20%	601%

Source: DRAMeXchange

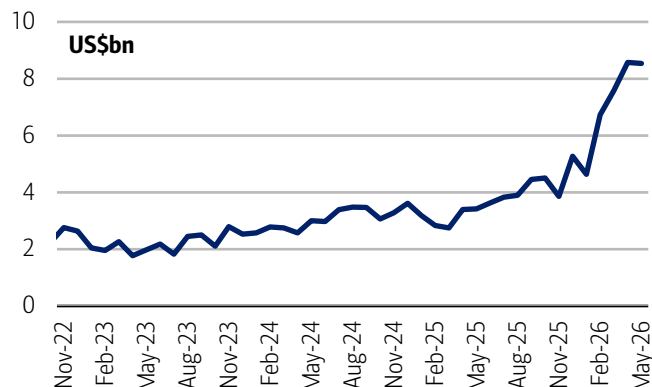
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ASP: Average selling price**DDR4/5:** 4th/5th gen double-data rate DRAM**DRAM:** Dynamic random-access memory**HBF:** High bandwidth flash**HBM:** High bandwidth memory**HF:** Hydrogen fluoride**NAND:** Not-AND memory**OEM:** Original equipment manufacturer**OPM:** Operating profit margin**SSD:** Solid-state drive**TCB:** Thermal compression bonding

Korea exports and Taiwan monthly sales trend

Exhibit 2: Remained flat MoM but still at record-high level in May (US\$8.5bn)

Korea semis exports – First 10 days of month US\$bn

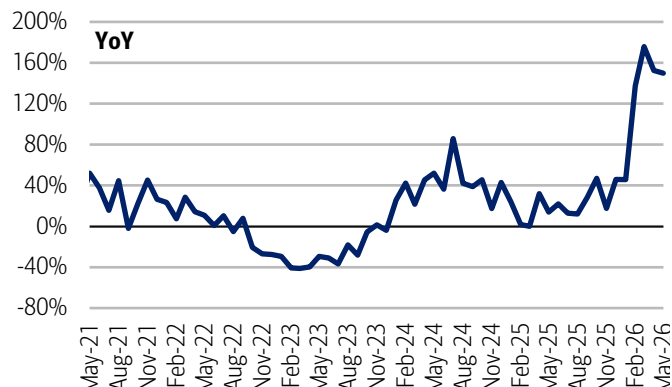


Source: MoTIR

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Exhibit 3: YoY rebound still high at 150% in May; already four consecutive months of triple-digit growth

Korea semis exports – YoY change in first 10 days of month

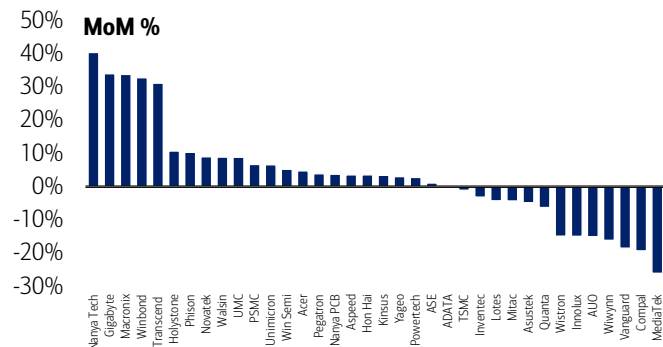


Source: MoTIR

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Exhibit 4: Robust MoM growth mostly led by memory names, such as Nanya Tech (+40%), Transcend (+31%), Macronix/Winbond (+34%/33%)

Taiwan tech companies' monthly sales – Apr 2026

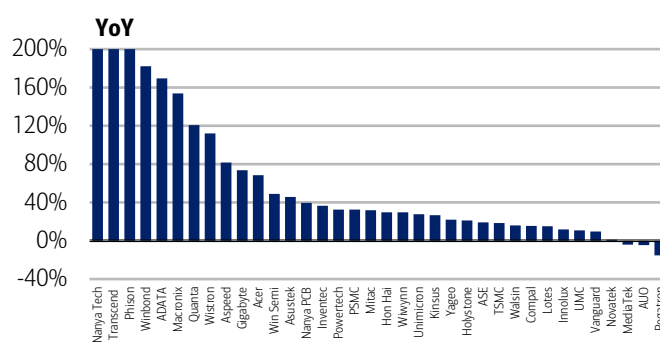


Source: Companies

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Exhibit 5: Also notably strong rebound seen from memory names and resilient growth across most companies including TSMC (+18%), Quanta (+121%), Yageo (+22%)

Taiwan tech companies' monthly sales YoY – Apr 2026



*Nanya +717%, Transcend +594%, Phison +237%

Source: Companies

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Hanmi Semi (042700 KS; C-1-7; PO W500,000)

Exhibit 6: Weaker-than-expected 1Q results (sales only W51bn; -65% YoY, OPM also low at 17% vs normal 40-50% range); we believe weaker TCB orders from Hynix was the key contributor. However, 2Q/2H recovery is well-expected on more diversified TCB (for not only HBM, but also 2.5D logic and even HBF) and customers (not well disclosed, but we assume Hynix, Micron, ASE, TSMC, etc.)

Hanmi Semi – Earnings revisions (2026-28E)

(Wbn, Won)	1Q26	2Q26E	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2021	2022	2023	2024	2025	2026E	2027E	2028E
EPS																
New	201	791	1,053	1,110	1,173	1,428	1,665	1,770	2,112	948	2,759	1,608	2,256	3,154	6,036	10,656
Old	145	815	1,074	1,110	1,173	1,428	1,665	1,770	2,112	948	2,759	1,608	2,256	3,144	6,036	10,656
Difference	39%	-3%	-2%	0%	0%	0%	0%	0%	n/a	n/a	n/a	n/a	n/a	0%	0%	0%
Dividend/share																
New	0	0	0	1,100	0	0	0	2,050	600	200	420	720	800	1,100	2,050	3,100
Old	0	0	0	1,100	0	0	0	2,050	600	200	420	720	800	1,100	2,050	3,100
Difference	n/a	n/a	n/a	0%	n/a	n/a	n/a	0%	n/a	n/a	n/a	n/a	n/a	0%	0%	0%
Sales																
New	51	204	252	272	281	331	382	403	373	328	159	559	577	779	1,397	2,324
Old	85	204	252	272	281	331	382	403	373	328	159	559	577	813	1,397	2,324
Difference	-40%	0%	0%	0%	0%	0%	0%	0%	n/a	n/a	n/a	n/a	n/a	-4%	0%	0%
Gross margin																
New	54.1%	59.5%	61.0%	60.2%	61.0%	62.0%	62.0%	63.0%	48.3%	56.5%	49.9%	56.3%	57.6%	59.9%	62.1%	63.6%
Old	47.0%	61.0%	62.0%	60.2%	61.0%	62.0%	62.0%	63.0%	48.3%	56.5%	49.9%	56.3%	57.6%	59.6%	62.1%	63.6%
Difference	15.2%	-2.5%	-1.6%	0.0%	0.0%	0.0%	0.0%	0.0%	n/a	n/a	n/a	n/a	n/a	0.5%	0.0%	0.0%
OP																
New	8	96	129	136	145	177	207	220	122	112	35	255	251	369	749	1,344
Old	17	99	131	136	145	177	207	220	122	112	35	255	251	383	749	1,344
Difference	-50%	-3%	-2%	0%	0%	0%	0%	0%	n/a	n/a	n/a	n/a	n/a	-4%	0%	0%
OP margin																
New	16.6%	47.2%	51.1%	49.9%	51.7%	53.5%	54.1%	54.6%	32.8%	34.1%	21.7%	45.7%	43.6%	47.4%	53.6%	57.8%
Old	19.9%	48.7%	52.1%	49.9%	51.7%	53.5%	54.1%	54.6%	32.8%	34.1%	21.7%	45.7%	43.6%	47.2%	53.6%	57.8%
Difference	-16.4%	-3.1%	-1.9%	0.0%	0.0%	0.0%	0.0%	0.0%	n/a	n/a	n/a	n/a	n/a	0.5%	0.0%	0.0%
Pre-tax income																
New	25	97	130	137	146	178	208	221	136	128	345	198	278	389	753	1,348
Old	18	100	132	137	146	178	208	221	136	128	345	198	278	387	753	1,348
Difference	41%	-3%	-2%	0%	0%	0%	0%	0%	n/a	n/a	n/a	n/a	n/a	0%	0%	0%
Effective tax rate																
New	24.1%	23.0%	23.0%	23.0%	24.0%	24.0%	24.0%	24.0%	23.3%	27.8%	22.6%	23.1%	23.1%	23.1%	24.0%	25.0%
Old	23.0%	23.0%	23.0%	23.0%	24.0%	24.0%	24.0%	24.0%	23.3%	27.8%	22.6%	23.1%	23.1%	23.0%	24.0%	25.0%
Difference	4.9%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	n/a	n/a	n/a	n/a	n/a	0.3%	0.0%	0.0%
Net profit																
New	19	75	100	105	111	135	158	168	104	92	267	153	214	299	573	1,011
Old	14	77	102	105	111	135	158	168	104	92	267	153	214	298	573	1,011
Difference	39%	-3%	-2%	0%	0%	0%	0%	0%	n/a	n/a	n/a	n/a	n/a	0%	0%	0%
ROE - annualized																
New	11.5%	44.5%	52.5%	48.8%	48.4%	54.7%	55.6%	51.6%	34.6%	25.0%	55.5%	27.4%	34.8%	37.3%	49.8%	56.4%
Old	8.3%	46.4%	53.8%	49.0%	48.6%	54.9%	55.7%	51.8%	34.6%	25.0%	55.5%	27.4%	34.8%	37.2%	49.9%	56.5%
Difference	37.8%	-4.0%	-2.5%	-0.4%	-0.4%	-0.3%	-0.3%	-0.3%	n/a	n/a	n/a	n/a	n/a	0.1%	-0.3%	-0.2%
EBITDA																
New	11	99	132	139	149	181	211	224	129	121	43	265	263	382	765	1,362
Old	20	103	135	140	149	181	211	224	129	121	43	265	263	397	766	1,364
Difference	-43%	-3%	-2%	0%	0%	0%	0%	0%	n/a	n/a	n/a	n/a	n/a	-4%	0%	0%
Capex																
New	5	15	15	15	20	20	20	20	25	9	28	54	75	50	80	80
Old	15	15	15	15	20	20	20	20	25	9	28	54	75	60	80	80
Difference	-64%	0%	0%	0%	0%	0%	0%	0%	n/a	n/a	n/a	n/a	n/a	-16%	0%	0%
Net cash																
New	175	212	283	367	369	482	617	773	50	91	180	104	276	367	773	1,512
Old	178	227	301	386	388	502	639	796	50	91	180	104	276	386	796	1,538
Difference	-2%	-6%	-6%	-5%	-5%	-4%	-3%	-3%	n/a	n/a	n/a	n/a	n/a	-5%	-3%	-2%
BVPS																
New	6,704	7,494	8,547	9,657	9,730	11,158	12,824	14,594	7,012	4,008	5,907	5,698	7,278	9,657	14,594	23,199
Old	6,623	7,438	8,511	9,622	9,695	11,123	12,788	14,558	7,012	4,008	5,907	5,698	7,278	9,622	14,558	23,164
Difference	1%	1%	0%	0%	0%	0%	0%	0%	n/a	n/a	n/a	n/a	n/a	0%	0%	0%

Source: Company, BofA Global Research estimates

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Soulbrain (357780 KS; B-3-7; PO W370,000)

Exhibit 7: 1Q results (sales W264bn, +26% YoY; GM 27%, OPM 17%) were broadly in-line with consensus/our estimate; accordingly, our 2026-27E EPS revisions are minimal

Soulbrain – Earnings revisions (2026-28E)

(Wbn, Won)	1Q26	2Q26E	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2021	2022	2023	2024	2025	2026E	2027E	2028E
EPS																
New	4,643	5,673	6,197	6,222	5,811	6,170	6,933	6,886	19,093	20,928	16,759	15,226	10,164	22,735	25,800	27,289
Old	4,908	5,532	6,156	6,159	5,630	6,184	6,940	7,034	19,093	20,928	16,759	15,226	9,953	22,754	25,788	27,286
Difference	-5%	3%	1%	1%	3%	0%	0%	-2%	n/a	n/a	n/a	n/a	n/a	0%	0%	0%
Dividend/share																
New	0	0	0	4,100	0	0	0	4,500	1,950	2,000	2,000	2,300	2,350	4,100	4,500	5,000
Old	0	0	0	4,100	0	0	0	4,500	1,950	2,000	2,000	2,300	2,350	4,100	4,500	5,000
Difference	n/a	n/a	n/a	0%	n/a	n/a	n/a	0%	n/a	n/a	n/a	n/a	n/a	0%	0%	0%
Sales																
New	264	266	278	279	277	283	300	301	1,024	1,091	844	863	923	1,087	1,160	1,251
Old	258	267	281	280	274	281	299	305	1,024	1,091	844	863	923	1,086	1,159	1,250
Difference	2%	0%	-1%	0%	1%	1%	0%	-1%	n/a	n/a	n/a	n/a	n/a	0%	0%	0%
Gross margin																
New	27.4%	29.6%	30.1%	30.8%	30.0%	30.1%	31.2%	31.5%	24.9%	27.3%	22.9%	28.5%	25.2%	29.5%	30.7%	30.4%
Old	27.1%	28.8%	29.7%	30.3%	28.7%	30.2%	31.3%	31.5%	24.9%	27.3%	22.9%	28.5%	25.2%	29.0%	30.5%	30.2%
Difference	0.4%	0.8%	0.4%	0.4%	1.3%	-0.1%	-0.1%	0.0%	n/a	n/a	n/a	n/a	n/a	0.5%	0.3%	0.2%
OP																
New	45	52	57	56	53	56	64	63	189	207	133	168	134	209	237	253
Old	45	50	56	55	52	56	65	64	189	207	133	168	134	206	237	252
Difference	-1%	3%	1%	2%	3%	0%	0%	-2%	n/a	n/a	n/a	n/a	n/a	1%	0%	0%
OP margin																
New	16.9%	19.4%	20.4%	20.0%	19.3%	19.9%	21.5%	20.9%	18.4%	19.0%	15.8%	19.5%	14.5%	19.2%	20.4%	20.2%
Old	17.4%	18.7%	20.1%	19.6%	18.9%	20.0%	21.6%	21.0%	18.4%	19.0%	15.8%	19.5%	14.5%	19.0%	20.4%	20.2%
Difference	-0.5%	0.7%	0.3%	0.4%	0.4%	-0.1%	-0.1%	-0.1%	n/a	n/a	n/a	n/a	n/a	0.2%	0.0%	0.0%
Pre-tax income																
New	51	60	66	65	62	65	73	72	203	215	161	167	113	242	273	288
Old	53	58	65	64	61	65	74	73	203	215	161	167	113	241	272	288
Difference	-4%	3%	1%	2%	2%	0%	0%	-1%	n/a	n/a	n/a	n/a	n/a	1%	0%	0%
Effective tax rate																
New	25.8%	24.0%	24.0%	24.0%	24.0%	24.0%	24.0%	24.0%	25.1%	22.2%	18.8%	28.4%	26.0%	24.4%	24.0%	24.0%
Old	24.0%	24.0%	24.0%	24.0%	24.0%	24.0%	24.0%	24.0%	25.1%	22.2%	18.8%	28.4%	22.6%	24.0%	24.0%	24.0%
Difference	1.8%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	n/a	n/a	n/a	n/a	n/a	0.4%	0.0%	0.0%
Net profit																
New	36	44	48	48	45	48	54	54	149	163	130	118	79	177	201	212
Old	38	43	48	48	44	48	54	55	149	163	130	118	77	177	201	212
Difference	-5%	3%	1%	1%	3%	0%	0%	-2%	n/a	n/a	n/a	n/a	n/a	0%	0%	0%
ROE - annualized																
New	12.8%	15.1%	15.9%	15.5%	14.1%	14.5%	15.7%	15.1%	26.3%	23.0%	15.6%	12.5%	7.7%	15.7%	15.7%	14.7%
Old	13.6%	14.8%	15.9%	15.5%	13.8%	14.6%	15.8%	15.6%	26.3%	23.0%	15.6%	12.5%	7.5%	15.8%	15.8%	14.7%
Difference	-0.8%	0.2%	0.0%	0.1%	0.3%	-0.1%	-0.1%	-0.4%	n/a	n/a	n/a	n/a	n/a	0.0%	0.0%	0.0%
EBITDA																
New	61	68	73	72	70	73	81	80	237	260	194	227	199	274	304	321
Old	62	67	74	72	69	74	82	82	237	260	194	227	197	274	306	324
Difference	-2%	1%	-1%	0%	1%	-1%	-1%	-2%	n/a	n/a	n/a	n/a	n/a	0%	-1%	-1%
Capex																
New	16	33	35	56	40	40	35	35	62	94	129	96	120	140	150	160
Old	30	33	35	42	40	40	35	35	62	94	129	96	130	140	150	160
Difference	-46%	0%	0%	33%	0%	0%	0%	0%	n/a	n/a	n/a	n/a	n/a	0%	0%	0%
Net debt																
New	-237	-154	-179	-150	-215	-186	-218	-214	-146	-168	-161	-242	-146	-150	-214	-276
Old	-136	-151	-176	-161	-182	-197	-230	-228	-146	-168	-161	-242	-129	-161	-228	-293
Difference	75%	2%	2%	-7%	18%	-6%	-5%	-6%	n/a	n/a	n/a	n/a	n/a	-7%	-6%	-6%
BVPS																
New	139,886	144,846	151,043	153,228	159,039	165,209	172,142	174,597	81,666	100,114	114,593	129,633	135,728	153,228	174,597	196,964
Old	139,227	144,759	150,915	153,037	158,667	164,851	171,790	174,394	81,666	100,114	114,593	129,633	135,454	153,037	174,394	196,757
Difference	0%	0%	0%	0%	0%	0%	0%	0%	n/a	n/a	n/a	n/a	n/a	0%	0%	0%

Source: Company, BofA Global Research estimates

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SK Square (402340 KS; C-1-7; PO W1,600,000)

Exhibit 8: Minimal 2026-27E EPS revisions as the majority of Square's OP is dependent on Hynix's NP due to its 20% stake

SK Square – Earnings revisions (2026-28E)

Wbn, Won	1Q26	2Q26E	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2023	2024	2025	2026E	2027E	2028E
EPS - fully diluted														
New	63,552	64,514	76,232	73,730	73,736	68,664	77,687	78,753	-9,501	27,886	66,912	278,028	298,840	308,071
Old	58,766	65,513	77,916	75,447	70,284	69,895	79,140	80,258	-9,501	27,886	66,912	277,641	299,577	309,114
Difference	8%	-2%	-2%	-2%	5%	-2%	-2%	-2%	n/a	n/a	n/a	0%	0%	0%
Dividend/share														
New	0	1,550	0	1,550	0	2,000	0	3,000	0	0	0	3,100	5,000	6,000
Old	0	1,550	0	1,550	0	2,000	0	3,000	0	0	0	3,100	5,000	6,000
Difference	n/a	n/a	n/a	0%	n/a	n/a	n/a	0%	n/a	n/a	n/a	0%	0%	0%
Shares for FD EPS - mn														
New	132	132	132	132	132	132	132	132	135	133	132	132	132	132
Old	132	132	132	132	132	132	132	132	135	133	132	132	132	132
Difference	0%	0%	0%	0%	0%	0%	0%	0%	n/a	n/a	n/a	0%	0%	0%
Sales														
New	300	298	295	290	287	284	281	279	2,277	1,907	1,412	1,183	1,131	1,087
Old	180	170	165	168	166	165	163	161	2,277	1,907	1,412	683	655	630
Difference	67%	75%	79%	73%	73%	73%	73%	73%	n/a	n/a	n/a	73%	73%	73%
OP														
New	8,278	9,062	10,779	10,420	9,703	9,650	10,934	11,085	-2,340	3,913	8,797	38,540	41,372	42,664
Old	8,141	9,072	10,786	10,439	9,722	9,668	10,951	11,106	-2,340	3,913	8,797	38,438	41,448	42,753
Difference	2%	0%	0%	0%	0%	0%	0%	0%	n/a	n/a	n/a	0%	0%	0%
Equity method gains														
New	8,313	9,094	10,809	10,463	9,747	9,692	10,974	11,135	-2,053	4,107	8,930	38,679	41,549	42,873
Old	8,154	9,092	10,808	10,463	9,747	9,691	10,974	11,135	-2,053	4,107	8,930	38,517	41,547	42,871
Difference	2%	0%	0%	0%	0%	0%	0%	0%	n/a	n/a	n/a	0%	0%	0%
Pre-tax income														
New	8,930	9,082	10,801	10,445	10,368	9,675	10,959	11,110	-2,598	3,836	9,507	39,259	42,112	43,459
Old	8,151	9,087	10,808	10,464	9,747	9,693	10,976	11,131	-2,598	3,836	9,507	38,510	41,548	42,870
Difference	10%	0%	0%	0%	6%	0%	0%	0%	n/a	n/a	n/a	2%	1%	1%
Tax rate - effective														
New	6.2%	6.4%	7.0%	7.0%	6.3%	6.5%	6.6%	6.6%	49.4%	4.8%	7.2%	6.7%	6.5%	6.6%
Old	5.0%	5.0%	5.0%	5.0%	5.0%	5.0%	5.0%	5.0%	49.4%	4.8%	7.2%	5.0%	5.0%	5.0%
Difference	1%	1%	2%	2%	1%	2%	2%	2%	n/a	n/a	n/a	2%	2%	2%
NP ex minority int														
New	8,381	8,508	10,053	9,723	9,724	9,055	10,245	10,386	-1,287	3,714	8,824	36,665	39,410	40,627
Old	7,750	8,640	10,275	9,950	9,269	9,217	10,437	10,584	-1,287	3,714	8,824	36,614	39,507	40,765
Difference	8%	-2%	-2%	-2%	5%	-2%	-2%	-2%	n/a	n/a	n/a	0%	0%	0%
ROE - annualized														
New	104%	84%	81%	65%	56%	46%	47%	42%	-33%	84%	148%	318%	188%	132%
Old	97%	86%	83%	67%	54%	47%	48%	43%	-33%	84%	148%	318%	189%	133%
Difference	7%	-2%	-2%	-2%	2%	-1%	-1%	-1%	n/a	n/a	n/a	0%	-1%	0%
EBITDA														
New	8,296	9,082	10,800	10,442	9,726	9,674	10,959	11,111	-2,196	4,016	8,880	38,621	41,470	42,778
Old	8,161	9,092	10,807	10,461	9,745	9,692	10,976	11,132	-2,196	4,016	8,880	38,521	41,546	42,867
Difference	2%	0%	0%	0%	0%	0%	0%	0%	n/a	n/a	n/a	0%	0%	0%
Capex spend														
New	12	15	15	15	15	15	15	15	259	61	39	57	60	60
Old	15	15	15	15	15	15	15	15	259	61	39	60	60	60
Difference	-18%	0%	0%	0%	0%	0%	0%	0%	n/a	n/a	n/a	-5%	0%	0%
Net debt														
New	-1,419	-1,663	-1,733	-1,947	-2,095	-2,538	-2,498	-2,609	-1,484	-1,555	-1,628	-1,947	-2,609	-3,215
Old	-1,780	-2,005	-1,925	-2,008	-2,162	-2,620	-2,578	-2,693	-1,484	-1,555	-1,628	-2,008	-2,693	-3,320
Difference	-20%	-17%	-10%	-3%	-3%	-3%	-3%	-3%	n/a	n/a	n/a	-3%	-3%	-3%
Adj BVPS ex treasury														
New	274,977	338,888	415,158	487,422	560,123	627,754	705,480	781,318	116,752	147,055	212,192	487,422	781,318	1,083,446
Old	270,984	334,985	412,939	486,919	557,097	625,030	704,209	781,552	116,752	147,055	212,192	486,919	781,552	1,084,724
Difference	1%	1%	1%	0%	1%	0%	0%	0%	n/a	n/a	n/a	0%	0%	0%

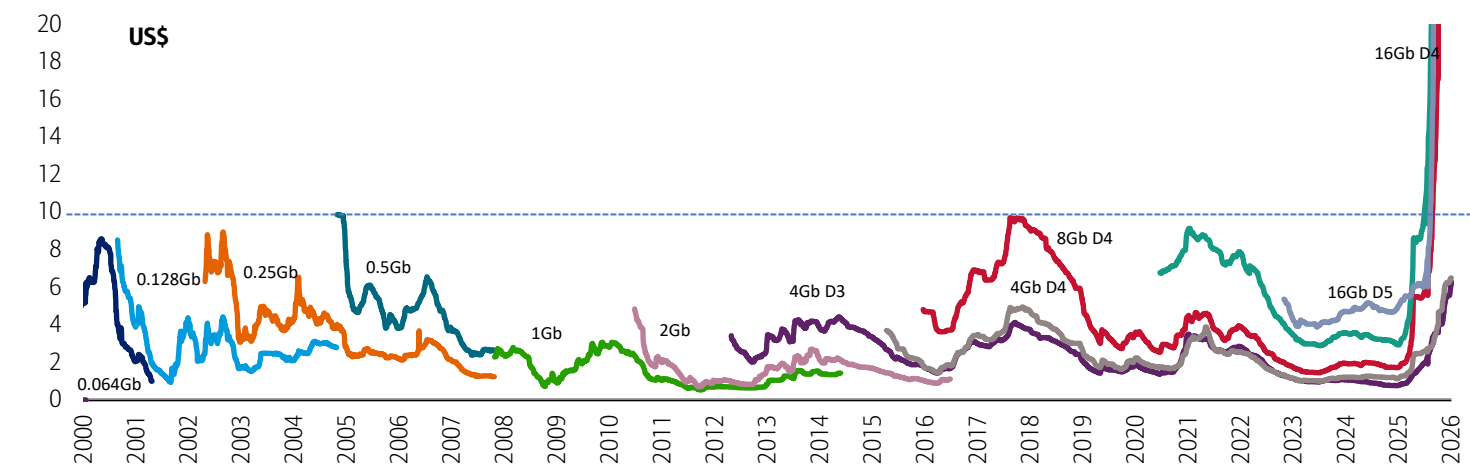
Source: Company, BofA Global Research estimates

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Memory spot/contract price trend

Exhibit 9: DRAM spot price softened in Apr/1H-May (mostly led by DDR4, while DDR5 relatively remained stable) after an exceptionally strong rally from Sept-25 to Jan-2026. DRAM price hit the highest level in the past 25 years as the current mainstream DRAM 16Gb DDR5 stood at US\$4 and 16Gb DDR4 at \$60 as chipmakers reallocated production to HBM and server-grade DRAM. Previous high level was in Oct-17, but it was only \$10 range.

DRAM spot price – long-term trend (2000-2025)

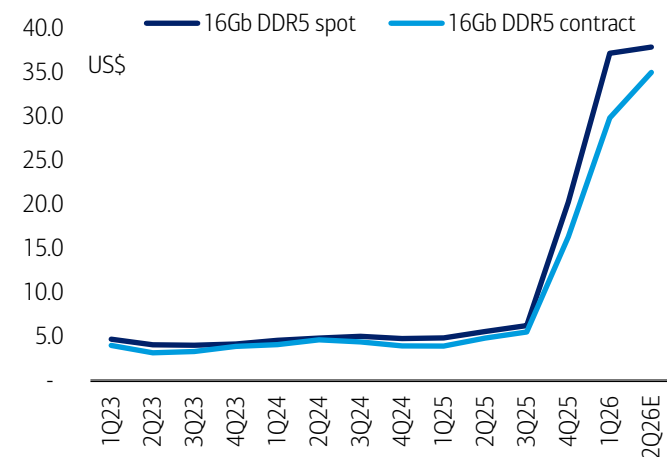


Source: DRAmExchange

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Exhibit 10: DRAM spot and contract prices reached record highs (~\$35), then leveled off during April–May following a strong rally in 4Q25 and 1Q26.

DRAM spot and contract price - quarterly average trend



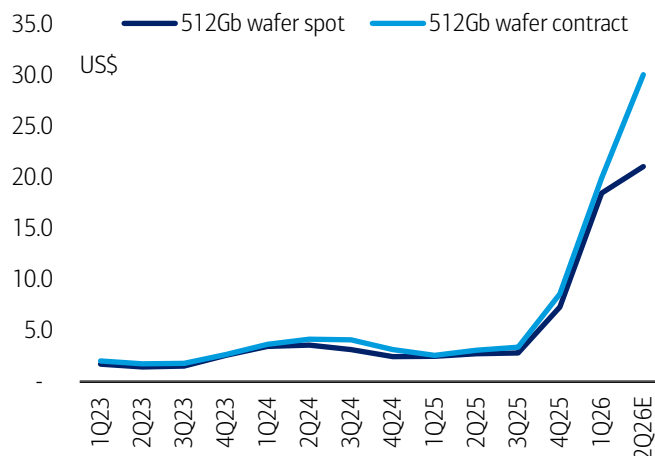
2Q26 average is based on April and up until 1H-May

Source: DRAmExchange, TrendForce

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Exhibit 11: NAND wafer contract price rally significantly higher vs spot

NAND wafer spot and contract price - quarterly average trend



2Q26 average is based on April and up until 1H-May

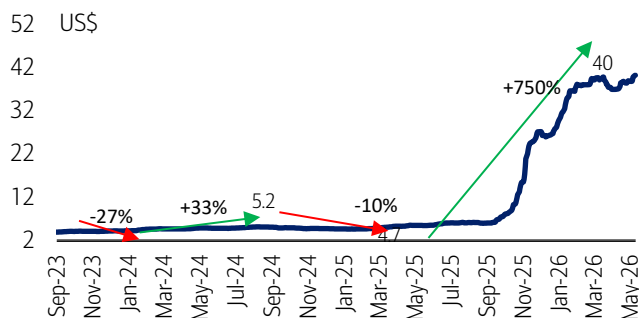
Source: DRAmExchange, TrendForce

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Exhibit 12: Prices further up this week and hit an all-time high level, following a volatile April (2H gains offsetting 1H correction). Strong rallies in Oct (+70%), Nov (+60%), and Jan (+25%) were followed by muted trends in Feb–Mar.

16Gb DDR5 spot price – daily, Sep '23 - May '26

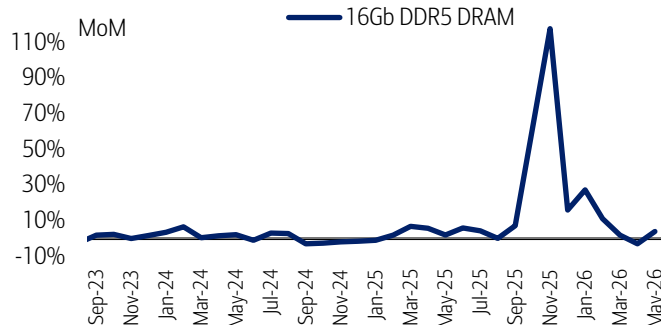


Source: DRAMeXchange

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Exhibit 13: slight uptick was seen in early May, following a sequential slowdown from February (+10%) to flat momentum in March and a minor decline in April, after the strong January (+25%) surge and the sharp October–November rally (+60–120%)

16Gb DDR5 spot month-average price – MoM change, Sep '23 - May '26

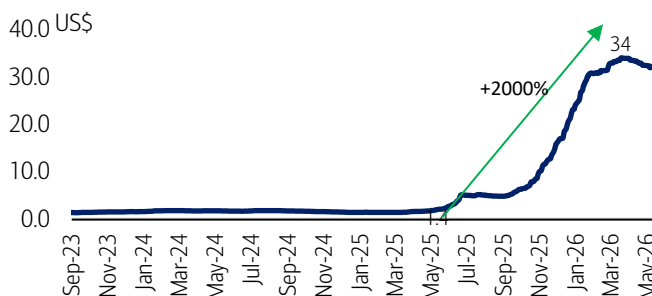


Source: DRAMeXchange

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Exhibit 14: 8Gb DDR4 prices largely stabilized through April/1H-May, but remain significantly higher YoY due to production cuts by the leading memory suppliers. Prices have risen to around \$30, well above the previous peak of roughly \$10 seen in October 2017

8Gb DDR4 spot price trend, Sep '23 - May '26

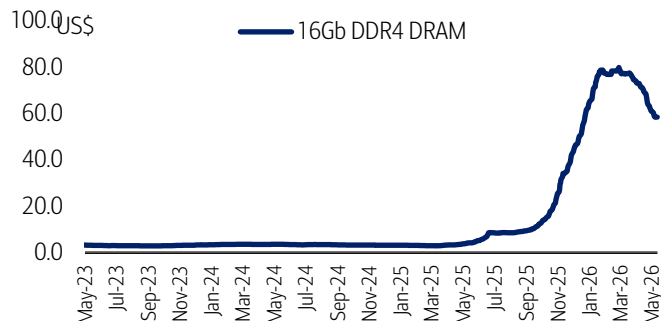


Source: DRAMeXchange

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Exhibit 15: Prices declined sharply in Apr–1H-May (~25%) after peaking at ~\$80 in early Mar, following strong Sep–Dec gains (+30–70%) and Jan (+20%); still up 2000%+ YoY vs ~\$3 in Oct-25.

16Gb DDR4 spot price trend, May '23 - May '26

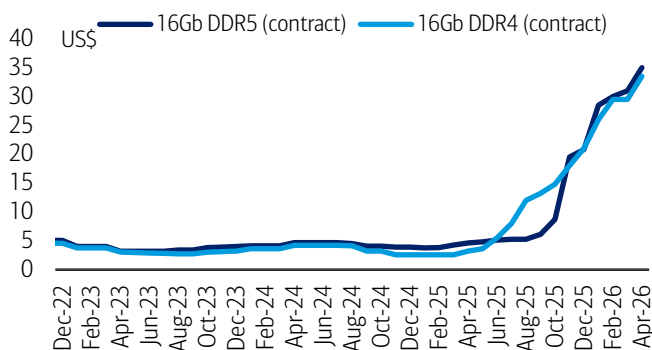


Source: DRAMeXchange

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Exhibit 16: DDR4 and DDR5 contract prices are similar at US\$35 (16Gb) – DDR5 price premium no longer exists due to DDR4 shortage

16Gb DDR5 vs 16Gb DDR4 contract price trend, Dec '22-Apr '26

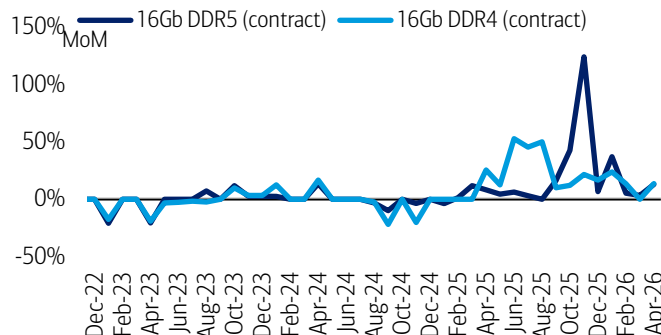


Source: TrendForce

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Exhibit 17: DDR5 and DDR4 contract prices up 10-15% MoM in Apr-26 vs broadly stable in Mar; price strong through 2H25 and early 2026

16Gb DDR5 vs 16Gb DDR4 contract price change - MoM, Dec '22-Apr '26

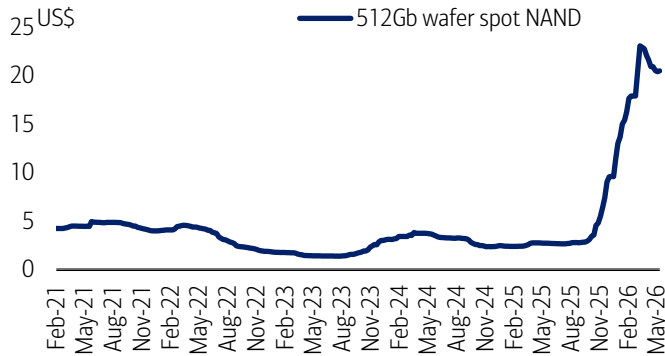


Source: TrendForce

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Exhibit 18: NAND spot prices remained stable this week, after trending down gradually through late March, April, and early May, but still up 50%+ YTD and 8x vs Feb-25 low (\$2.4)

512Gb NAND wafer spot price – weekly, Feb '21 - May '26

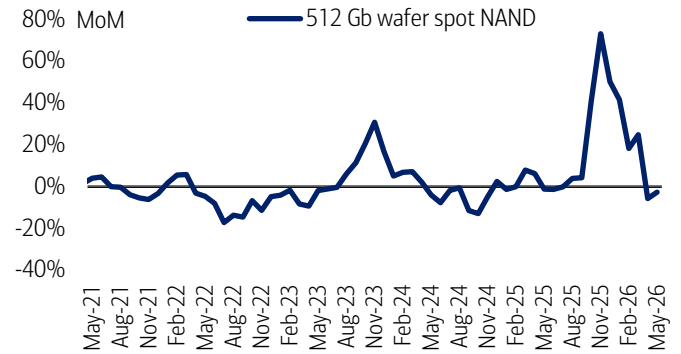


Source: DRAMeXchange

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Exhibit 19: Slightly corrected in Apr/1H-May vs up +15-20% in Feb/Mar-26 and up +40-70% MoM in Oct/Nov/Dec/Jan

512Gb NAND wafer spot month-average – MoM change, May '21 - May '26

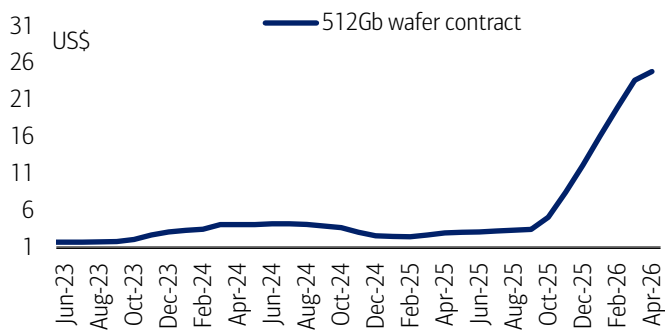


Source: DRAMeXchange

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Exhibit 20: Current contract price at ~\$25, around 10x vs Feb-25 bottom of \$2.5; prices significantly up in 4Q25 and through 1Q26

NAND wafer contract price trend, Jun '23-Apr '26

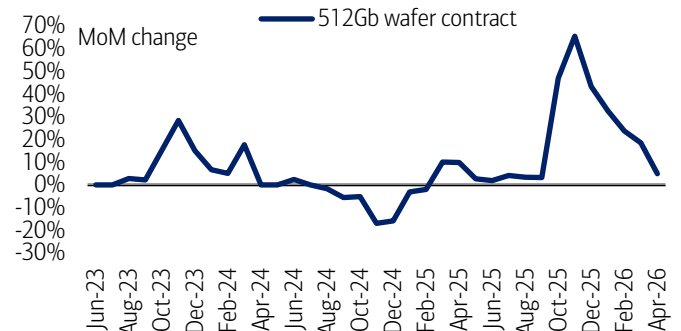


Source: TrendForce, DRAMeXchange, BofA Global Research

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Exhibit 21: Apr price only up +5% MoM following Jan/Feb/Mar-26 rally (up 20-30% MoM) and Oct/Nov/Dec upturn (up 40-60% MoM)

MoM change of NAND contract price (512Gb wafer), Jun '23-Apr '26

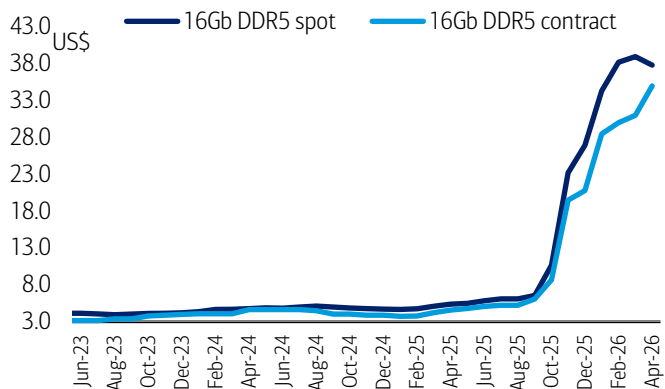


Source: DRAMeXchange, TrendForce, BofA Global Research

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Exhibit 22: 16Gb DDR5 spot and contract prices are in the range of US\$30-40 vs historical range of US\$3-5

16Gb DDR5 spot vs contract price trend (US\$), Jun '23-Apr '26

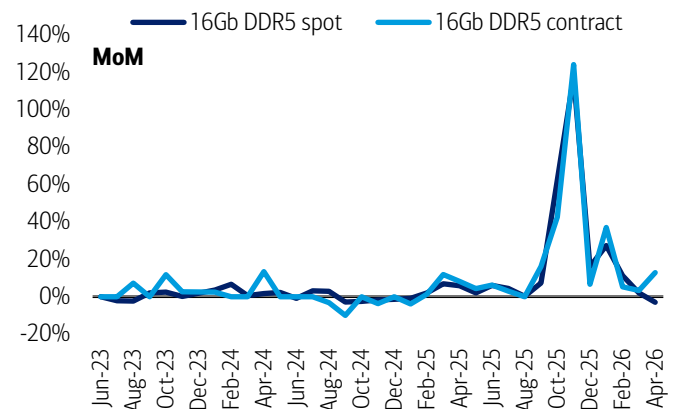


Source: DRAMeXchange, TrendForce

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Exhibit 23: Feb/Mar/Apr price rally muted vs Nov/Dec/Jan upturn

16Gb DDR5 spot vs contract price trend – MoM change, Jun '23-Apr '26



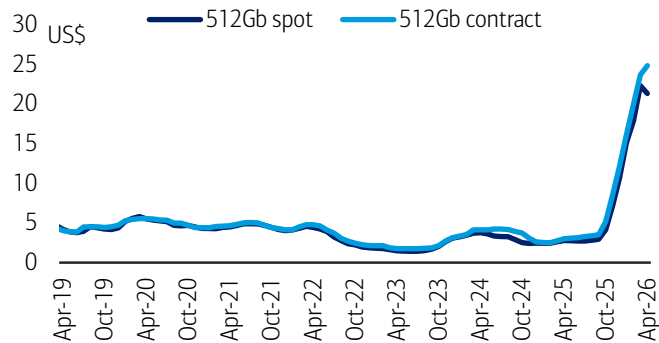
Source: DRAMeXchange, TrendForce

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Exhibit 24: Current NAND spot and contract prices are a few times higher than 2025 summer level

512Gb NAND wafer spot vs contract price trend (US\$), Apr '19 - Apr '26

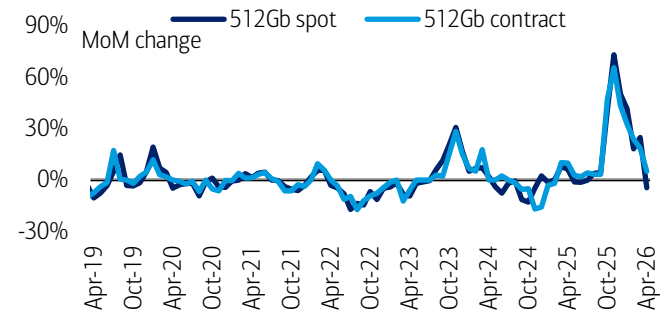


Source: DRAmEXchange, TrendForce

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Exhibit 25: NAND spot and contract prices normalized in Apr after strong rally during Oct-25 – Dec-25 (up 40-50% per month) and Jan-Mar-26 (20-30% per month)

512Gb NAND spot vs contract price trend – MoM change, Apr '19 - Apr '26

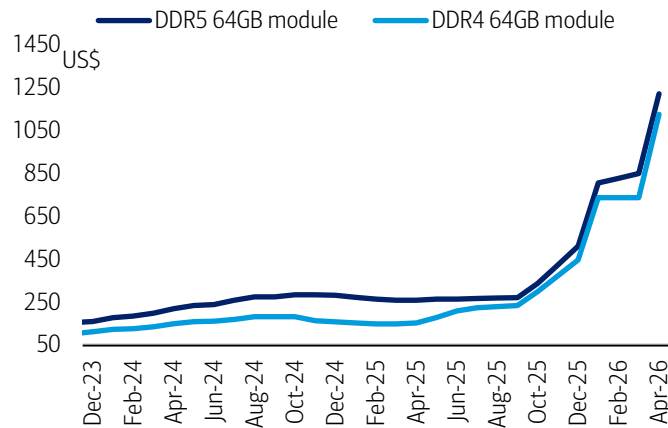


Source: DRAmEXchange, TrendForce

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Exhibit 26: Current price of 64GB DDR4/DDR5 modules hit all-time high of more than \$1,000 level (DDR5: US\$1,200, DDR4: US\$1,100)

Server DRAM contract price trend – DDR5 vs DDR4 modules, Dec '23-Apr '26

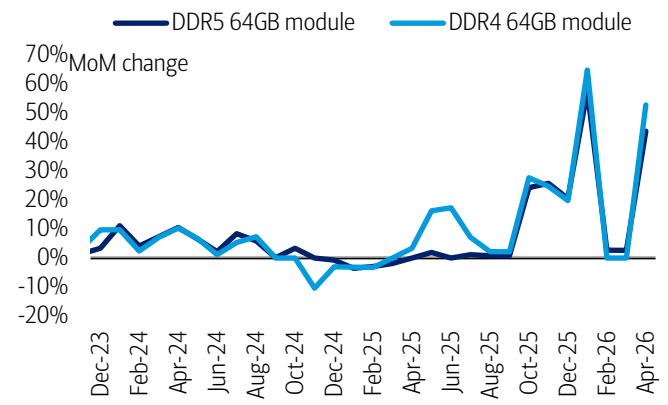


Source: TrendForce

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Exhibit 27: DDR4/DDR5 server contract prices surged 40–50% MoM in April 2026, similar to the 50–60% spike seen in January, after remaining largely flat during February–March

MoM change of server DRAM contract prices, Dec '23-Apr '26

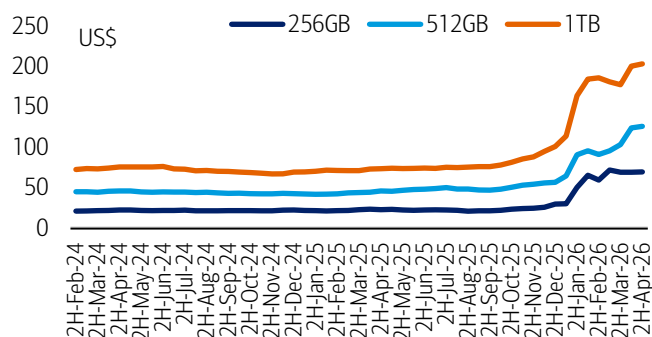


Source: TrendForce

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Exhibit 28: SSD pricing surged sharply in 1Q26 and April (per DRAmEXchange), following a more gradual upward trend throughout 2025

Client SSD price trend – mostly for PC (not server), Jan '24 - Apr '26



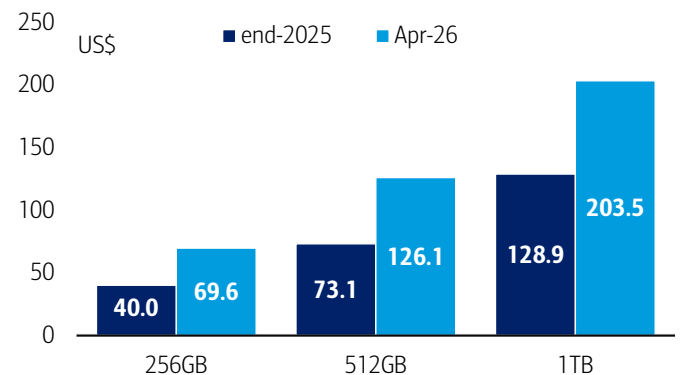
Note: SSD prices are as of 30 Apr 2026, reported by DRAmEXchange. TB = terabyte.

Source: DRAmEXchange

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Exhibit 29: April prices have doubled compared to end-2025 levels, while the 2025 increase was more modest at around 35–40%

Client SSD (for PC) price comparison – current vs. end-2025



Note: SSD prices are as of 30 Apr 2026, reported by DRAmEXchange

Source: DRAmEXchange

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Valuation and stock performance

Exhibit 30: Memory companies still show very low P/E multiples despite robust stock price rally this week vs very strong earnings momentum (exceptionally strong DRAM and NAND ASP in 1Q/2Q26)

Valuation comparison among memory and semiconductor supply chain stocks

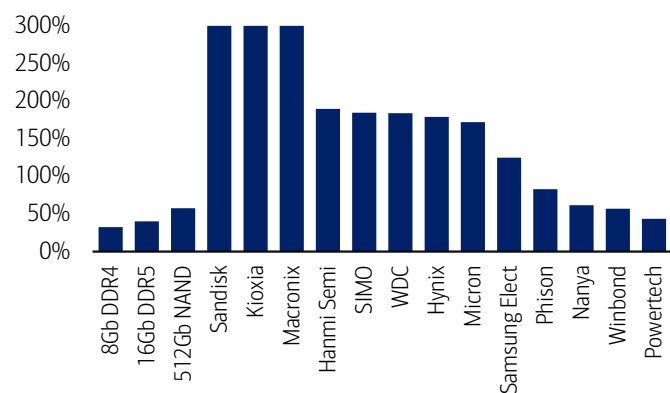
	Ticker	Rating	Price (Local)	Mcap (\$bn)	P/E			P/Book			EV/EBITDA		EV/Sales		ROE			Div. yield	
					FY25	FY26E	FY27E	FY25	FY26E	FY27E	FY26E	FY27E	FY26E	FY27E	FY25	FY26E	FY27E	FY26E	FY27E
Memory/DRAM																			
SK Hynix	HXSCF	C-1-7	1,964,000	869.5	32.5	6.8	5.6	11.6	4.3	2.5	4.5	3.6	3.5	2.6	44.2%	91.8%	55.7%	0.2%	0.6%
Samsung	SSNLF	B-1-7	293,000	1,060.7	44.6	8.0	6.4	4.7	3.1	2.2	4.8	3.9	2.5	2.0	10.8%	45.7%	39.2%	1.5%	2.1%
Micron	MU	C-1-7	776.01	875.1	93.6	12.7	7.6	16.2	7.1	3.6	10.2	6.1	7.5	4.9	18.8%	78.5%	63.7%	0.1%	0.1%
Nanya	NNYAF	B-1-7	311.50	34.1	160.9	6.1	4.7	6.9	3.4	2.2	4.3	3.2	3.2	2.3	3.9%	67.8%	52.1%	3.5%	4.4%
Memory/NAND																			
Kioxia	XIYUF	C-1-9	44,450.00	153.5	45.8	8.9	7.4	19.1	6.1	3.3	5.9	5.0	4.5	3.7	52.8%	103.5%	57.9%	0.0%	0.0%
Sandisk	SNDK	C-1-9	1,382.72	204.8	n/a	21.2	9.0	22.1	11.2	4.7	16.1	6.6	10.1	5.3	4.3%	73.4%	78.5%	0.0%	0.0%
Western Digital	WDC	C-1-7	489.15	168.6	n/a	49.5	29.6	31.2	13.4	9.4	30.9	18.7	12.9	9.6	22.5%	42.7%	42.2%	0.1%	0.1%
SIMO	SIMO	C-1-7	263.85	8.9	72.5	31.5	31.0	10.5	8.2	6.9	23.5	21.2	5.3	4.8	15.3%	30.0%	24.9%	0.9%	1.1%
Phison	PISNF	C-1-8	2,880.00	18.3	72.6	8.4	18.8	10.4	5.5	4.8	6.3	13.2	2.6	2.7	16.0%	86.3%	27.6%	6.5%	2.9%
US/Taiwan semis																			
NVIDIA	NVDA	C-1-7	235.74	5,709.7	51.8	28.3	20.5	37.3	19.0	11.6	23.1	17.0	15.6	11.6	94.3%	86.9%	67.4%	0.0%	0.0%
AMD	AMD	C-1-9	449.70	733.3	107.8	61.8	38.1	11.6	9.9	7.8	44.3	29.0	14.9	10.2	11.3%	17.6%	23.8%	0.0%	0.0%
Broadcom	AVGO	C-1-7	439.79	2,082.3	64.5	40.2	25.8	25.9	21.2	13.6	30.7	20.2	21.1	13.9	45.3%	59.9%	66.2%	0.6%	0.6%
Intel	INTC	C-3-9	115.93	582.7	269.6	111.5	73.4	4.6	4.2	3.9	28.9	22.7	9.6	8.4	1.7%	4.0%	5.7%	0.0%	0.0%
Arm	ARM	C-2-9	228.50	242.7	129.1	110.4	80.5	29.3	23.2	17.9	86.5	62.3	40.8	30.5	25.0%	23.6%	25.5%	0.0%	0.0%
Qualcomm	QCOM	B-3-7	200.08	210.9	16.6	18.9	18.7	10.1	8.1	7.8	15.7	16.3	5.4	5.4	56.0%	47.4%	40.6%	1.8%	1.8%
TSMC	TSMWF	B-1-7	2,265	1,863.8	34.2	22.9	17.7	10.8	7.8	5.8	14.6	11.5	10.6	8.3	35.4%	39.8%	37.6%	1.1%	1.1%
MediaTek	MDTKF	B-1-7	3,260	165.9	49.3	50.6	25.3	13.1	13.9	9.7	39.2	20.2	7.8	4.9	26.4%	26.3%	44.9%	1.6%	3.2%
Equipment																			
ASML	ASMLF	B-1-7	1,367.00	619.7	55.2	41.2	29.4	27.1	22.0	18.1	32.6	23.9	13.1	10.5	50.6%	58.7%	67.0%	0.6%	0.8%
AMAT	AMAT	B-1-7	440.56	349.6	46.8	36.3	27.2	17.1	11.9	8.4	31.0	23.2	10.6	8.5	38.6%	39.0%	36.0%	0.5%	0.6%
Lam	LRCX	C-1-7	299.15	374.1	72.4	52.9	39.6	37.9	32.7	23.5	43.4	32.5	16.2	12.7	57.9%	66.9%	68.9%	0.4%	0.4%
TEL	TOELF	C-1-7	50,290	148.8	40.2	33.7	27.4	11.2	9.5	7.9	22.8	18.7	7.3	6.2	29.3%	30.3%	31.4%	1.5%	1.8%
Hanmi Semi	HNSIF	C-1-7	404,500	23.6	172.0	123.4	64.3	53.6	40.5	26.8	92.1	47.7	45.0	26.2	34.8%	37.2%	49.9%	0.3%	0.5%
BESI	BESVF	B-1-7	266.70	25.3	158.2	62.3	37.6	50.6	37.2	27.4	47.4	29.9	21.3	15.1	29.2%	69.0%	84.3%	1.5%	2.6%
ASMPT	ASMVF	C-1-7	172.30	8.9	68.0	43.5	31.3	4.2	4.0	3.7	24.7	18.6	3.7	3.0	6.5%	9.4%	12.3%	1.2%	1.6%

Source: Company reports, BofA Global Research estimates; Mcap = market capitalization, ROE = return on equity, Div = dividend.

BofA GLOBAL RESEARCH

Exhibit 31: Robust rally continues led by NAND/HDD companies, followed by DRAM names, memory companies share price significantly up this week driven by AI-led demand

Memory companies – 2026 YTD stock performance comparison



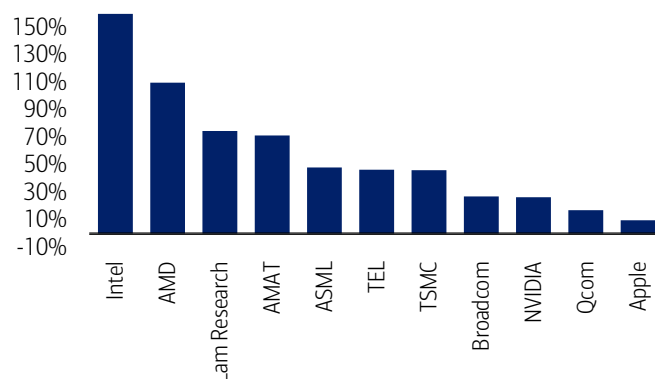
SanDisk/Kioxia/Macronix shows above 300% YTD return

Source: Bloomberg, DRAMeXchange

BofA GLOBAL RESEARCH

Exhibit 32: CPU names such as Intel and AMD clearly outperforming other US big tech names such as NVIDIA/App/QCOM

Global major tech companies – 2026 YTD stock performance comparison



Source: Bloomberg

BofA GLOBAL RESEARCH



Exhibit 33: Stocks mentioned

Prices and ratings for stocks mentioned in this report

BofA Ticker	Bloomberg ticker	Company name	Price	Rating
HNSIF	042700 KS	Hanmi Semi	W 341000	C-1-7
HXSCF	000660 KS	SK Hynix	W 1848000	C-1-7
SKSQF	402340 KS	SK Square	W 1096000	C-1-7
XSBOF	357780 KS	Soulbrain	W 417000	C-3-7

Source: BofA Global Research

BofA GLOBAL RESEARCH

Price objective basis & risk**Hanmi Semiconductor (HNSIF)**

Our PO of W500,000 is derived from 47x 2028E P/E. This is near-30% lower than 2024-25 average (30-120x range or mean of 60x) to be conservative. The reason we use 2028E EPS is because of the significant impact of newly constructed fabs in Korea with meaningful ramp-up in 2028E (Hynix's Yongin fabs, Samsung's P5). We believe strong earnings growth with high margins through 2H26 and 2027-28 will warrant for high P/E multiples that were proved over the past two years.

Upside risk should be stronger TCB orders from Hynix, Micron and even Samsung Electronics.

Downside risk is mostly related to market share loss to competitors (ASMPT, Hanwha Semitech).

SK Hynix (HXSCF)

Our PO of W2,100,000 is derived from 8x 2026-27E EPS. Our fair P/E multiple of 8x is in fact lower than the 2016-25 average (12x). We believe the company's already proven strong 2025 results and new record-high 2026-27E earnings with HBM leadership and high margin profile will lead to a re-rating to >8x fair P/E. Upside risk is stronger HBM demand from US Big Tech, further price hike of commodity DRAM, and unexpected supply disruption from its memory peers. Downside risk is competitors' more aggressive capex increase.

SK Square (SKSQF)

Our valuation methodology behind our PO of W1,600,000 starts with a fair market cap of Hynix (W1,493tn = W2.1mn PO x 713mn shares) x 20% stake (W307tn) x 31% discount = W211tn. If we divide W211tn (fair value of Square's firm value) by Square's outstanding shares (132mn), we get W1.6mn fair-value. Our 31% discount ratio assumption is lower than historical average (50% range in 2021-25) but close to recently established re-rated ratio (low-40%).

Upside risk is Hynix's upbeat earnings momentum on the back of stronger HBM demand from US Big Tech, further price hike of commodity memory chips, and more active shareholder return activities (share buybacks, special dividend).

Downside risk is memory cycle hard-landing exacerbated by slowdown in US Big Tech's AI-related capex spend, more aggressive capacity expansion by competitors, and Hynix's HBM market share loss.

Soulbrain (XSBOF)

Our PO of W370,000 is based on 15x 2026-27E P/E, which is similar to its long-term historical average. Soulbrain's topline growth should be likely limited given 2026-27 memory upturn is mostly price-driven instead of volume increase. Moreover, the



company's etchant materials are mostly used for commodity memory (low impact of HBM or AI). Upside risks are stronger material orders from key customers and more effective cost cutting.

Analyst Certification

We, Simon Woo, CFA and Matt Shin, hereby certify that the views each of us has expressed in this research report accurately reflect each of our respective personal views about the subject securities and issuers. We also certify that no part of our respective compensation was, is, or will be, directly or indirectly, related to the specific recommendations or view expressed in this research report.



APR - Semiconductor Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
BUY				
	Alchip	ALCPF	3661 TT	Haas Liu
	AMEC	XRTOF	688012 CH	Dai Shen
	ASE Technology Holding	XSRI	3711 TT	Haas Liu
	ASE Technology Holding -ADR	ASX	ASX US	Haas Liu
	ASMPT	ASMVF	522 HK	Simon Woo, CFA
	Aspeed	XLKMF	5274 TT	Mike Yang
	Chroma ATE	CRMJF	2360 TT	Haas Liu
	eMemory	XYLWF	3529 TT	Mike Yang
	GigaDevice	YGXIF	603986 CH	Daley Li, CFA
	Global Unichip Corp.	GBUHF	3443 TT	Haas Liu
	Grand Process Technology Corp	XZOWF	3131 TT	Mike Yang
	Hanmi Semiconductor	HNSIF	042700 KS	Simon Woo, CFA
	Hon Precision	XXPIF	7769 TT	Haas Liu
	Horizon Robotics	HRZRF	9660 HK	Daley Li, CFA
	Ingenic	XISCF	300223 CH	Dai Shen
	InnoScience Technology	XSCHF	2577 HK	Daley Li, CFA
	JCET Group Co Ltd	XJIEF	600584 CH	Dai Shen
	King Yuan Electronics Corp.	KYUFF	2449 TT	Haas Liu
	MediaTek	MDTKF	2454 TT	Haas Liu
	Montage Technology	XRDF	688008 CH	Daley Li, CFA
	MPI Corporation	XMJCF	6223 TT	Mike Yang
	Nanya Technology	NNYAF	2408 TT	Simon Woo, CFA
	NCE Power	XVFFF	605111 CH	Daley Li, CFA
	OmniVision	XXHQF	603501 CH	Dai Shen
	Phison Electronics	PISNF	8299 TT	Simon Woo, CFA
	Powerchip Semiconductor Manufacturing Co	XCHPF	6770 TT	Haas Liu
	Powertech Technology	XPZCF	6239 TT	Simon Woo, CFA
	Rockchip	XRPF	603893 CH	Daley Li, CFA
	Samsung Elec -G	SSNHZ	SMSN LI	Simon Woo, CFA
	Samsung Electronics	SSNLF	005930 KS	Simon Woo, CFA
	Samsung Electronics Preferred	SSNNF	005935 KS	Simon Woo, CFA
	Silergy Corp.	SLEGF	6415 TT	Mike Yang
	Silicon Motion	SIMO	SIMO US	Simon Woo, CFA
	SK Hynix	HXSCF	000660 KS	Simon Woo, CFA
	SK Square	SKSQF	402340 KS	Simon Woo, CFA
	Taiwan Semiconductor Manufacturing Co.	TSM	TSM US	Haas Liu
	Taiwan Semiconductor Manufacturing Co.	TSMWF	2330 TT	Haas Liu
	Vanguard International Semiconductor Co	VGILF	5347 TT	Haas Liu
	Winbond Electronics	WBEKF	2344 TT	Dai Shen
	WinWay Technology	XWCLF	6515 TT	Mike Yang
	WT Microelectronics	XZOPF	3036 TT	Mike Yang
NEUTRAL				
	ASMedia Technology Inc.	XZSFF	5269 TT	Mike Yang
	Black Sesame Intl Holding	BSIHF	2533 HK	Daley Li, CFA
	Crystal Clear	XPPTF	300655 CH	Dai Shen
	Kinik	KIKCF	1560 TT	Haas Liu
	LX Semicon	XLXSF	108320 KS	Simon Woo, CFA
	Novatek	NVKMF	3034 TT	Haas Liu
	Realtek	RLTKF	2379 TT	Mike Yang
	Shenzhen Goodix	XQPLF	603160 CH	Daley Li, CFA
UNDERPERFORM				
	Faraday	FDYTF	3035 TT	Haas Liu
	GlobalWafers	XWLFF	6488 TT	Mike Yang
	Hangzhou Silan Microelectronics	XDFRF	600460 CH	Daley Li, CFA
	Hua Hong Semi	HHUSF	1347 HK	Dai Shen
	Lion Electronics	XDHFF	605358 CH	Dai Shen
	M31 Technology	XMTZF	6643 TT	Mike Yang
	Macronix International	MXICF	2337 TT	Dai Shen
	Maxscend	XMVSF	300782 CH	Daley Li, CFA
	Parade	PRDWF	4966 TT	Mike Yang
	Soulbrain	XSBOF	357780 KS	Simon Woo, CFA
	United Microelectronics Corp.	XUMIF	2303 TT	Haas Liu
	United Microelectronics Corp.	UMC	UMC US	Haas Liu



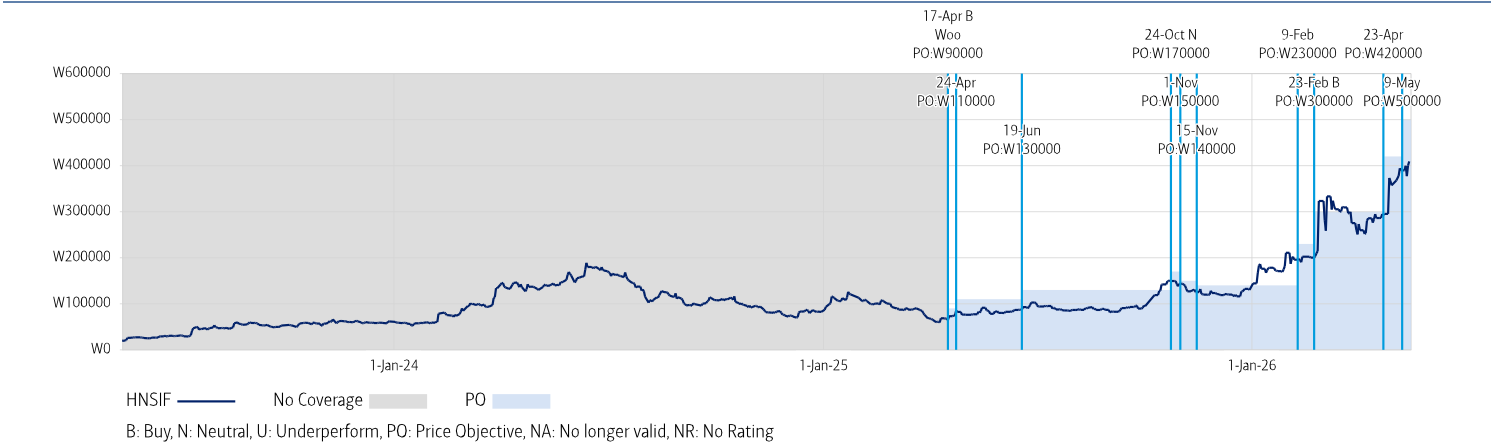
APR - Semiconductor Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	VeriSilicon	XMLZF	688521 CH	Daley Li, CFA
	Win Semiconductors	WSMIF	3105 TT	Haas Liu
	Wonik IPS	XRHQF	240810 KS	Simon Woo, CFA

Disclosures

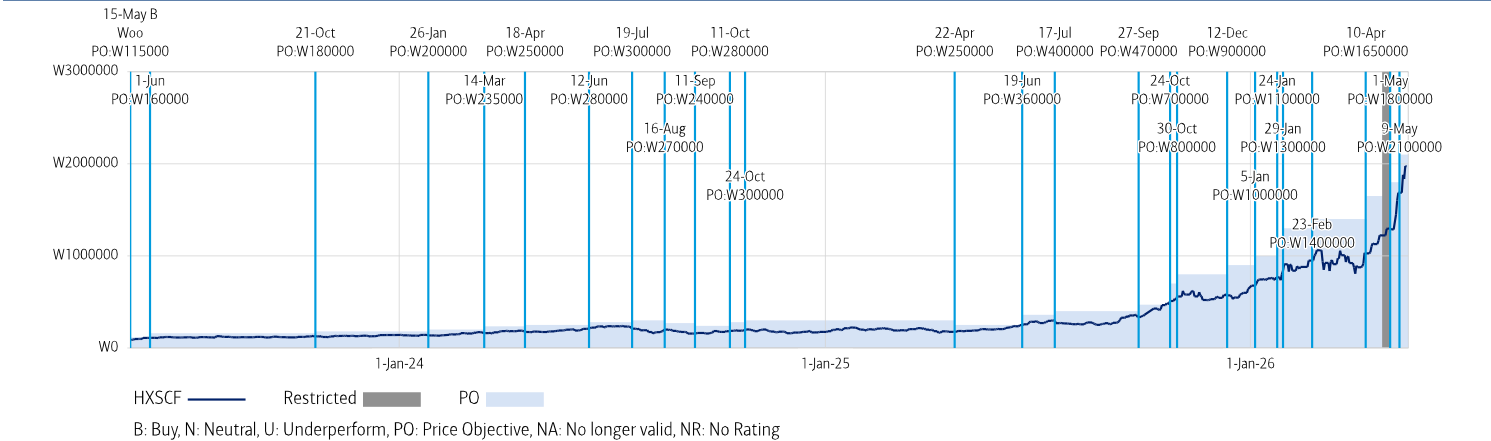
Important Disclosures

Hanmi Semi (HNSIF) Price Chart



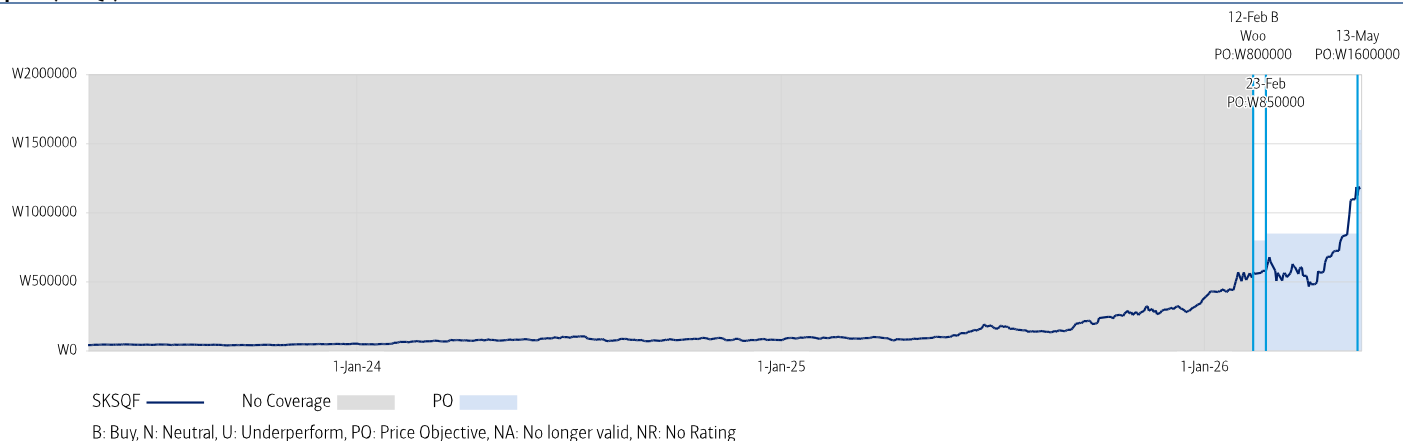
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SK Hynix (HXSCF) Price Chart

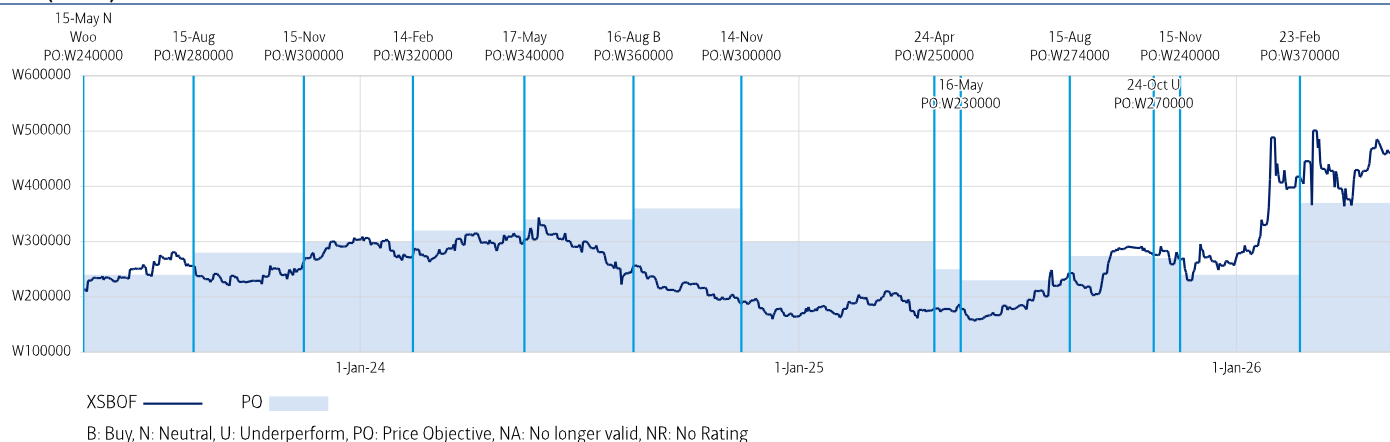


The Investment Opinion System is contained at the end of the report under the heading "Fundamental Equity Opinion Key". Dark grey shading indicates the security is restricted with the opinion suspended. Medium grey shading indicates the security is under review with the opinion withdrawn. Light grey shading indicates the security is not covered. Chart is current as of a date no more than one trading day prior to the date of the report.



SK Square (SKSQF) Price Chart

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Soulbrain (XSBOF) Price Chart

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Equity Investment Rating Distribution: Chemicals Group (as of 31 Mar 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	69	49.29%	Buy	31	44.93%
Hold	28	20.00%	Hold	17	60.71%
Sell	43	30.71%	Sell	23	53.49%

Equity Investment Rating Distribution: Technology Group (as of 31 Mar 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	234	58.50%	Buy	123	52.56%
Hold	90	22.50%	Hold	43	47.78%
Sell	76	19.00%	Sell	23	30.26%

Equity Investment Rating Distribution: Global Group (as of 31 Mar 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	1993	55.76%	Buy	1186	59.51%
Hold	821	22.97%	Hold	509	62.00%
Sell	760	21.26%	Sell	400	52.63%

^{R1} Issuers that were investment banking clients of BofA Securities or one of its affiliates within the past 12 months. For purposes of this Investment Rating Distribution, the coverage universe includes only stocks. A stock rated Neutral is included as a Hold, and a stock rated Underperform is included as a Sell.

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Investment rating	Total return expectation (within 12-month period of date of initial rating)	Ratings dispersion guidelines for coverage cluster ^{R2}
Buy	≥ 10%	≤ 70%
Neutral	≥ 0%	≤ 30%
Underperform	N/A	≥ 20%

^{R2}Ratings dispersions may vary from time to time where BofA Global Research believes it better reflects the investment prospects of stocks in a Coverage Cluster.

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